WRW

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FRANCHISE ENTRY REPORT

Portugal

Where the opportunity is, what blocks it, and what to do in the first 90 days.

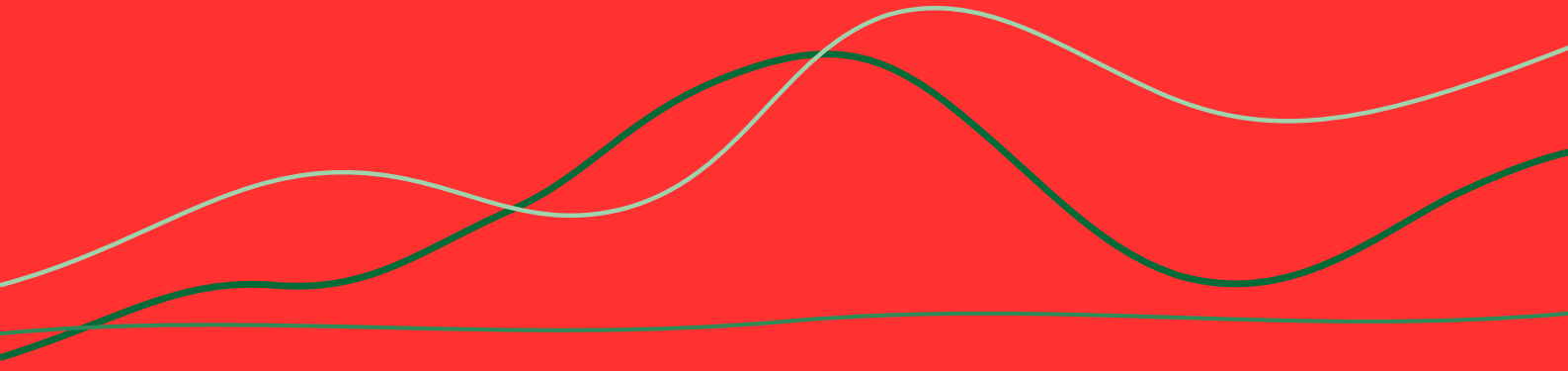
THE VERDICT

Open, cheap to staff and free of franchise law, but a few big operators hold burger and chicken. The opening is a second chicken brand, built on cost, because takeaway gets no VAT break.

11.42m
people at 31 Dec 2025, up 0.32% on the year

€920
monthly minimum wage, mainland 2026, paid 14 times a year

13%
VAT on a meal, eaten in or taken away (mainland)



Visitors and low wages, but restaurant prices are outrunning sales

GDP grew 1.9% in 2025 and tourism was the least seasonal since 2013. But restaurant prices rose faster than sales, and the sector and the central bank disagree on margins.

Population

11.42m

At 31 Dec 2025, up 0.32% on the year. Foreign nationals are 14.0% of residents, more than double 2021. INE will revise per-head figures by year-end.

INE [S1]

GDP per head

about €26,900

2025. Estimate: GDP of about €307bn ÷ 11.42m people. Real growth 1.9%. Accounts still preliminary.

INE via RTP [S2]

Food-service spend

€23.4bn

Value added by the restaurant chain, suppliers included, 2025: 7.6% of GDP and 523,000 jobs. A sector study, not an official figure. Household restaurant spend: Not found.

EY-Parthenon for AHRESP via RTP [S3]

Franchise count

542

brands, says the franchise association (Oct 2025), 52 of them in restaurants and fast food. It claims over 50,000 units; its own density figure implies about 32,000 (Estimate). No official census.

APF via Lusa [S4] · Forbes Portugal [S5]

Consumer spending

+3.5%

Real private consumption, 2025. Banco de Portugal sees GDP +2.3% in 2026, with consumption slowing. Inflation 3.6% in Sep 2026 (flash), energy +15.4%.

INE via RTP [S2] · Banco de Portugal via AICEP [S6] · INE via Lusa [S7]

Currency

£1 = €1.195

€1 = £0.8366 on 27 Oct 2026. ECB deposit rate 2.50% at 28 Oct 2026, after rises on 17 Jun and 16 Sep. Next decision after 29 Oct: 17 Dec 2026.

ECB [S8, S9, S10]

How Portugal eats out

Official takeaway and delivery shares: Not found.

Price level

75.5

Restaurant and hotel prices, 2024, EU = 100. About a quarter below the EU average.



Eurostat price level index, 2024, via Access Portugal [S11]

Tourism

36.4%

seasonality rate in 2025, the lowest since 2013. 29.9m visitors; non-residents spent 67.1% of nights.

INE Tourism Statistics 2025, via ECO [S12]

Lisbon and Porto

€17.42

per m², median new-lease home rent in Lisbon, Q1 2026. A site-cost signal. Restaurant data by city: Not found.



INE rents, Q1 2026, via Access Portugal [S11]

So what?

Two readings of margin. A sector study puts restaurant net margin at 3.0%, against 8.2% for the economy. The central bank governor calls margins near pre-pandemic levels, with 4,991 hospitality firms opened against 1,307 exits in 2025. Both agree real sales fell: turnover rose 2.9% while prices rose 6%. Plan for the thin case. [S3, S13]

Burger and chicken grow through a few big operators; most other categories are standing still

A Rising or Falling call needs two independent signals. Neutral means we found no count change, entry or exit worth calling. Not found means no data. Local category: the padaria-café chain.

CATEGORY	DIRECTION	EVIDENCE	SOURCE · WINDOW	CONFIDENCE	SATURATION	ENTRY
Chicken	↑ Rising	KFC: 81 sites (May 2026), from about 56 at end 2022 (Estimate, back-counted from openings). One operator since 1996, now opening in smaller towns. Popeyes has missed two planned entries; no Wingstop.	S14, S15, S16, S17, S18, S19 end 2022 → May 2026	Medium	Medium	Medium
Burger	↑ Rising	Burger King 164 → 185 → 213 sites (Sep 2022 to Nov 2025), now under Restaurant Brands Iberia. McDonald's 200 → 220 (2024 to Dec 2025), 92% franchised. Five Guys promised 2025; not open.	S20, S21, S22, S23, S24, S25, S26, S27 Sep 2022 → Dec 2025	High	High	High
Pizza	Neutral	Sites are moving between chains. Domino's has 66 stores and adds about 5 a year (company claim). Telepizza fell 143 → 133 and Little Caesars 4 → 1. Pizza Hut 108 → 110. Little net change across the four.	S14, S16, S27, S28, S29, S30 Jun 2021 → Sep 2026	Medium	High	Medium
Kebab / grill	Neutral	No entries, exits or deals found. Ali Baba Kebab Haus: 19 sites on its locator (we counted, 28 Oct 2026; the brand claims 21). Al Sultão claims 12 (2018 page). KFC added a kebab range in 2026.	S31, S32, S33 Oct 2026 snapshot	Thin	Low	Low
Coffee	Neutral	Starbucks 30 → 33 stores in 20 months (Jul 2024 to Mar 2026). Delta franchises 12 stores and says half of coffee is now drunk at home. Pret has one Lisbon shop. Costa and Caffè Nero: absent.	S34, S35, S36, S37 Jul 2024 → Mar 2026	Medium	High	Medium
Bakery / dessert padaria chains are on the local row	Not found	No dated count for any dessert or ice-cream chain (Llaollao, Santini, Natas searched). The association lists 39 café and ice-cream brands, without unit counts.	S4 Oct 2025	Thin	Not found	Not found
Bubble tea	Neutral	Gong Cha opened 3 shops through a master franchisee (Dec 2022 to Apr 2023). We found no openings reported since then, and no other chain.	S38, S39 Dec 2022 → Apr 2023	Thin	Low	Low
Fast casual	Neutral	Deals signed, few openings. Pret: 70-site Iberian deal (2022), one Lisbon shop (2024). Pomodoro: 20-site deal (2021), current count Not found. Five Guys not open. Telepizza is testing Grab&Go in Lisbon.	S27, S28, S37, S40 Oct 2021 → Sep 2026	Thin	Low	Medium
Plant-based	Not found	No chain found, only independents. Counts, entries and exits: Not found.	— —	Thin	Not found	Not found
Bakery-café (padaria) local category	↑ Rising	A Padaria Portuguesa: 84 shops (Aug 2025), 78 in Greater Lisbon. Plans 120 by 2028 (company claim). Put up for sale, then agreed to Spain's Rodilla in Aug 2025. One chain, so Thin.	S41, S42, S43 Oct 2024 → Aug 2025	Thin	Medium	Medium

Net change in sites between two dated counts

Plain number of sites gained or lost. KFC's starting count is an Estimate.



Sources: Burger King [S20, S22]; KFC [S14, S15, S16] (start is an Estimate); McDonald's [S23, S24]; Starbucks [S34, S35]; Pizza Hut [S14, S16]; Little Caesars [S27]; Telepizza [S28, S29].

READING THE TABLE

What it means

1. **Burger is growing and taken.** Burger King added 49 sites in three years and McDonald's 20, through two large operators. [S20, S22, S23, S24]
2. **Chicken has one scaled player.** KFC runs 81 sites through one operator; Popeyes has missed two planned entries. [S14, S19]
3. **Pizza is reshuffling, not growing.** Domino's gains are offset by Telepizza and Little Caesars losses. [S27, S28, S29, S30]

The open ground: a second chicken brand, bakery-café beyond Lisbon, fast casual through a local operator

Three gaps and one small test. Every entry we traced came through a local partner, and each of these will need one too.

1 A second chicken brand

GAP	KFC is the only chicken chain at scale, and its nearest rival has not arrived.
EVIDENCE	KFC 81 sites (May 2026), up about 25 since end 2022 (Estimate). Popeyes missed 2022 and 2025. No Wingstop. [S14, S19]
SUITS	A chicken brand proven in two or more countries, with a simple kitchen and a takeaway menu.
ROUTE	Master or area development with a Portuguese multi-brand operator.

L national roll-out, mainland first

2 Bakery-café beyond Lisbon

GAP	The one scaled padaria chain is almost all in Greater Lisbon.
EVIDENCE	A Padaria Portuguesa: 78 of 84 shops in Greater Lisbon, 6 in the north (Aug 2025); new Spanish owner. Porto-area rents run well below Lisbon's. [S11, S41, S42]
SUITS	A bakery-café brand with central production.
ROUTE	Area developer for the north or the Centre.

M regional *Thin evidence*

3 Fast casual through a local operator

GAP	Few international fast-casual brands are open, and promised arrivals have slipped.
EVIDENCE	Pret has one Lisbon shop on a 70-site deal; Pomodoro signed for 20 in 2021; Five Guys has not opened. [S27, S37, S40]
SUITS	A fast-casual brand proven in two or more markets.
ROUTE	Franchise to a local multi-brand operator.

M Lisbon and Porto first *Thin evidence*

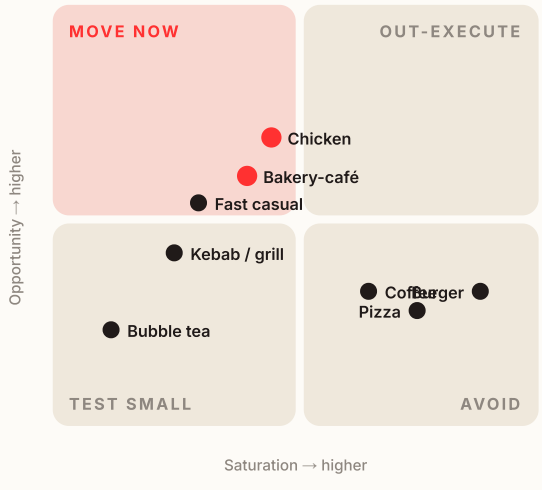
4 A branded kebab and grill format

GAP	Only small domestic kebab chains, and the chicken leader is testing kebab.
EVIDENCE	Ali Baba Kebab Haus 19 sites (our count); Al Sultão claims 12; KFC kebab range 2026. [S31, S32, S33]
SUITS	A kebab or grill brand with a tight menu and low fit-out cost.
ROUTE	Direct franchise or one area developer.

S test small in Greater Lisbon *Thin evidence*

Opportunity vs saturation

Our assessment from the page 3 evidence. Judgement, not measurement.



Bakery / dessert and plant-based are left off: Not found. Source: WRW Hospitality analysis of the page 3 evidence.

IF I HAD A BRAND

> **If I had a brand, I'd take chicken to Portugal's smaller cities through one strong local operator, and I'd plan without a takeaway tax break.**

Burger is crowded, pizza is reshuffling, and chicken has one scaled player. Wages are low, but every €100 of monthly pay costs about €146 once the two extra months and social security are in.

I'd pick the partner before the city. Every brand we traced came in through a local operator, and the best ones already carry several brands. I'd model the thin margin, not the stable one.

Wesley Williams, WRW Hospitality

No franchise law to clear; payroll and a 13% meal rate shape the numbers

No disclosure or registration duty. The costs sit in payroll and VAT, and the islands have their own rates. Not legal, tax or investment advice.

AREA	CURRENT POSITION (VERIFIED OCT 2026)	SOURCE
Franchise law	**No franchise law, no disclosure or registration.** General contract law applies, with a duty of good faith (Civil Code arts 227, 762). Courts sometimes apply agency termination and indemnity rules to franchisees, which can raise exit costs. No reform found (source from 2019).	S44
Trade mark	INPI: €148.71 online for one class, €37.69 per extra class. EU trade mark: €850 for one class, €50 for the second, €150 each after; 10 years. **An EU mark covers Portugal;** a UK mark does not.	S45, S46, S47
Food safety	Notify each site for registration and run HACCP (EU Reg. 852/2004); ASAE inspects (Thin: page not opened). Most premises licences are now a simple prior notice. **Check municipal land use first.**	S48
Alcohol	A separate restaurant alcohol licence: Not found either way. **Alcohol and soft drinks served are outside the 13% meal rate** and pay 23% on the mainland.	S49
Halal and supply	Halal certification bodies, slaughter rules and import quotas: Not found in a primary source.	—
Tax	VAT 13% on meals eaten in, taken away or delivered, so **takeaway has no VAT edge**; drinks served 23%. Madeira 12% and 22%, Azores 9% and 16%. Corporate tax 19% mainland in 2026 (15% on an SME's first €50,000), 13% on the islands, plus surtaxes. Royalties: 25% domestic, 5% under the UK treaty; new treaty from 1 Jan 2026 (Thin).	S49, S50, S51, S52, S53, S54, S55
Company set-up	Form a Lda or SA online for €220 (standard articles) or €360 (custom). Foreign partners need a Portuguese tax number. Register beneficial owners within 30 days. Director residency rules: Not found.	S56

VAT on a meal

13%

Eaten in or taken away, mainland. Drinks served 23%. Madeira 12%, Azores 9%. [S49, S50]

Corporate tax

19%

Mainland 2026; 15% on an SME's first €50,000. Islands 13%. [S52]

Royalty withholding

5%

Under the UK treaty, against 25% domestic. 0% within the EU. [S53, S54]

THE WAGE ENGINE

The wage engine

What every €100 of monthly base pay costs the employer



- Base pay 100.00
- Holiday and Christmas pay 16.67
- Employer social security 27.71
- Work-accident insurance 1.17

Total ≈ €145.55

ESTIMATE Pay comes in 14 instalments: 12 months plus holiday and Christmas pay. Employer social security is 23.75% on all of it, uncapped. Accident insurance uses a 1% average (restaurant premium Not found). Guarantee-fund charge suspended to 31 Dec 2026. Excludes meal subsidy, overtime and shifts. [S57, S58]

LEGAL WAGE FLOOR

€5.31

Per hour, lowest grade of the restaurant agreement (€920 a month, the national minimum), on a 40-hour week (assumed). Azores €966, Madeira €980. The 2026 table ends 31 Dec 2026, so pay talks fall in your first year. [S59, S60, S61, S62, S63]

ALL-IN FLOOR

≈ £6.47/hr

ESTIMATE €5.31 × 1.4555 ≈ €7.73 an hour, at €1 = £0.83658 on 27 Oct 2026. [S8, S58]

Not legal or tax advice. Not legal, tax or investment advice. Check each rule with a Portuguese lawyer and tax adviser before you sign.

Every brand we traced came in through a local operator, a master franchisee or an acquisition

Direct entry by an overseas franchisor: none found. The short list of operators is the real gate. Each route is scored 1 to 3: 3 is the most control kept, the most capital put in, or the fastest to open.

ROUTE	YOUR CONTROL	YOUR CAPITAL	SPEED TO SCALE	SEEN IN PORTUGAL
Master franchise	Low	Low	Fast	Restaurant Brands Iberia holds Burger King, Tim Hortons and Popeyes for Portugal and Spain; in 2022 it bought Ibersol's 121 Portuguese Burger Kings (158 in Iberia, €260m). Gong Cha came in via an individual master franchisee. [S20, S26, S39]
Area development with a multi-brand operator	Medium	Low	Medium	Ibersol runs KFC (81) and Pizza Hut (110) and signed Pret for 70 Iberian sites. Pomodoro signed Grupo Novacasta for 20 sites in 2021. [S14, S15, S37, S40]
Direct franchise	Medium	Medium	Medium	Domino's opened company-owned in 2015, then franchised: 66 stores. McDonald's franchises 92% of 220. Delta franchises 12 stores. [S25, S30, S36]
Company-owned or acquisition	High	High	Slow	Rodilla agreed to buy A Padaria Portuguesa (84 shops) in Aug 2025. Starbucks (33) is run by Alsea. [S34, S41]

Under 25 units

Find one local operator

Without an overseas record, go through a Portuguese multi-brand operator that knows the pay tables, landlords and supply.

Proven in 2+ countries

Area development, region by region

Sign one region first. Burger King is still adding in Porto and Aveiro, and KFC in interior towns.

Regional group

One Iberian partner

Burger King, Telepizza and the padaria buyer treat Portugal and Spain as one market. Back a partner who can take both.

Six risks to price in

Six risks, each sourced

Prices ahead of sales

2025 turnover rose 2.9% while prices rose 6%, so real sales fell. Inflation 3.6% in Sep 2026. [S7, S13]

Insolvencies

Restaurant insolvencies up 23% in Jan to Jul 2026, while closures across the economy fell 8.6%. [S64]

Thin margins

Sector study: 3.0% net margin, 71% of balance sheets on debt at 4.5%. The central bank says margins are stable. Plan for thin. [S3, S13]

Wage rises

Minimum wage up 5.7% to €920 in 2026; hospitality pay per worker up about 6% in 2025. The agreement ends 31 Dec 2026. [S13, S59, S60, S63]

Few partners

RBI runs about 90% of Burger King; Ibersol holds KFC, Pizza Hut and Pret. The best operators may already carry a rival. [S15, S26]

Rates and support

ECB deposit rate raised twice in 2026, to 2.50%. A Jan 2026 restaurant support package was still unpaid at 20 Apr; later status Not found. [S9, S13]

The first 90 days: price the payroll, pick the partner, then the region

1. **Clear the brand:** EU trade mark (€850) or INPI (€148.71).
2. **Rebuild the unit P&L** on 14 pay instalments: about €146 per €100 of monthly pay.
3. **Price at 13% VAT** on meals either way, 23% on drinks served.
4. **Model the thin case:** a 3.0% net margin.
5. **Shortlist 3 to 5 Portuguese or Iberian multi-brand operators.**
6. **Check each partner's brands** for rivals before the first call.
7. **Pick a first region:** Greater Lisbon, the Porto area or interior towns.
8. **Walk the sites:** Lisbon against Porto rents and footfall.
9. **Take tax advice** on royalties (5% under the UK treaty) and the initial fee.
10. **Set up the company** online (from €220) and plan for the 2027 pay round.

WHAT WE'D CHECK NEXT

- Is your category Rising on two signals, or Thin?
- Does the P&L hold at €146 per €100 of pay and 13% VAT?
- Does your partner already run a rival?
- Have you modelled falling real sales?
- Has a Portuguese lawyer checked the contract and royalty route?

METHOD

Public sources only, read 28 Oct 2026. Every figure is dated and coded to the list below. Rising or Falling needs two independent signals; Neutral means no count change, entry or exit worth calling; Thin means one signal. Estimates state their method; missing data reads Not found. Unit counts are company reports, press or brand claims, except one locator count we made (Ali Baba Kebab Haus, 28 Oct 2026). Sources marked Thin were not opened. Sterling at the ECB rate of 27 Oct 2026. Not legal, tax or investment advice.

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Which country should we cover next?

Tell us in the comments. Follow WRW Hospitality for the next Franchise Entry Report, every Friday.

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